

In 1924 the shares sold as low as 72, in 1925 as low as 67¹/₂ and in 1926 as low as 64. These prices were on the whole somewhat less than ten times the reported earnings and reflected a lack of enthusiasm for the shares, due to a pronounced decline in profits from the figures of preceding years and also to the reductions in the dividend.

Analysis of the income account however, would have revealed the following division of the *sources of income*:⁶

	1923		1924		1925	
Income	Total	Per share	Total	Per share	Total	Per share
Earned from:						
Pipe-line operations	\$179,000	\$4.48	\$ 69,000	\$1.71	\$103,000	\$2.57
Interest and rents	164,000	4.10	159,000	3.99	170,000	4.25
Nonrecurrent items	dr. 35,000	dr. 0.88	dr. 14,000	0.35	cr. 38,000	cr. 0.95
	\$308,000	\$7.70	\$214,000	\$5.35	\$311,000	\$7.77

This income account is exceptional in that the greater part of the profits were derived from sources other than the pipe-line business itself. About \$4 per share were regularly received in interest on investments and rentals. The balance sheet showed holdings of nearly \$3,200,000 (or \$80 per share) in Liberty Bonds and other gilt-edged marketable securities, on which the interest income was about 4%.

This fact meant that a special basis of valuation must be applied to the per-share earnings, inasmuch as the usual "ten-times-earnings" basis would result in a nonsensical conclusion. Gilt-edged investments of \$80 per share would yield an income of \$3.20 per share, and at ten times earnings this \$80 would be "worth" only \$32 per share, a *reductio ad absurdum*. Obviously, that part of the Northern Pipe Line income that was derived from its bond holdings should logically be valued at a higher basis than the portion derived from the fluctuating pipe-line business. A sound valuation of Northern Pipe Line stock would therefore have to proceed along the lines suggested below. The pipe-line earnings would have to be valued at a low basis because of their unsatisfactory trend. The interest

⁶ Although the company's reports to its stockholders contained very little information, complete financial and operating data were on file with the Interstate Commerce Commission and open to public inspection.